SANGAMO THERAPEUTICS INC SGMOQ

August 05, 2026 - 2:39pm EST
by mrsox977

			2026	2027
Price:	0.08	EPS	0	0
Shares Out. (in M):	400	P/E	0	0
Market Cap (in $M):	32	P/FCF	0	0
Net Debt (in $M):	40	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

Sangamo Therapeutics (OTC: SGMOQ)

Investment Summary

Sangamo Therapeutics is one of the pioneers of genomic medicine. Over the last twenty-five years, the company invested billions of dollars developing one of the industry's deepest portfolios of gene-editing technologies, viral delivery platforms, intellectual property, and clinical assets. Like many biotechnology companies, however, it ultimately ran out of capital before it could fully monetize that scientific investment.

What does the Company do?

Sangamo is a genomic medicine company developing one-time genetic therapies that aim to treat disease at its source by modifying or regulating genes, rather than simply managing symptoms. Its goal is to deliver durable, potentially lifelong treatments for serious neurological and rare genetic diseases.

The company's core competitive advantage is its proprietary technology platform, which combines advanced gene-regulation tools with a novel delivery system capable of reaching the brain—one of the biggest challenges in gene therapy. This platform has attracted partnerships with leading pharmaceutical companies including Eli Lilly, Astellas, and Genentech.

Sangamo's pipeline includes therapies for chronic neuropathic pain, prion disease, Fabry disease, and other neurological disorders. Several of these programs had advanced into human clinical trials or late-stage development, creating multiple potential value inflection points.

Beyond its individual drug candidates, Sangamo's technology platform itself is valuable. Large pharmaceutical companies are interested not only in specific therapies, but also in licensing Sangamo's gene-delivery and genome-engineering capabilities for use across many future drug programs.

Today, the common stock trades around $0.06 per share, implying that the market assigns very little probability to any residual value for equity.

Why the Assets Are Valuable

It is important to distinguish betw**ee**n Sangamo the corporation and Sangamo's technology.

The corporation failed because it consumed enormous amounts of capital over many years while clinical timelines extended and financing markets deteriorated.

The technology did not fail.

Rather than conducting a piecemeal liquidation, Sangamo entered Chapter 11 with two global pharmaceutical companies—Eli Lilly and Astellas—already signed as stalking horse bidders. Lilly agreed to acquire Sangamo's zinc finger platform, capsid delivery platform, MINT genome editing platform, and prion disease program. Astellas agreed to acquire the company's lead Fabry disease program. The stated objective of the bankruptcy process is to maximize value through a competitive Section 363 auction.

Bidders are interested in purchasing foundational genomic medicine platforms that can be applied across multiple future drug candidates. Likewise, Astellas is acquiring a late-stage gene therapy program because it believes the asset has strategic value within its own pipeline. These are not financial buyers hoping to flip assets. They are among the world's largest pharmaceutical companies making strategic acquisitions.

Revised DIP and What It Can Tell Us

One of the strongest signals in this case is the replacement of the original $30 million debtor-in-possession financing (12% money) provided by Northridge with a new $35 million DIP facility from Future Solution Investments (FSI) (9% money). FSI negotiated this financing after Eli Lilly and Astellas had already signed stalking horse agreements, meaning it had the benefit of extensive diligence on the assets being sold, those remaining in the estate, and the anticipated auction process. Perhaps most telling, FSI negotiated the right to credit bid for any assets not acquired by the stalking horse purchasers, signaling that it believes the remaining intellectual property and development programs have meaningful economic value and would be willing to own them if no higher bidder emerges. The revised facility also appears structured to bridge Sangamo through a relatively expedited sale process rather than finance a prolonged Chapter 11, an important distinction because a faster process should reduce professional fees, administrative expenses, and potentially the amount of the $35 million facility ultimately drawn. In our view, the revised DIP is a powerful indication that sophisticated parties closest to the process believe the remaining estate has real strategic value, and that the ultimate recovery for equity will be driven by the competitiveness and efficiency of the auction rather than by the bankruptcy filing itself.

Why We Believe Additional Value Will Be Created

The market appears to assume the stalking horse bids represent the final outcome.

History suggests otherwise.

Stalking horse bids are designed to establish a minimum price, not necessarily the ultimate clearing price. Sangamo's bidding procedures expressly contemplate competing bids for individual assets, multiple asset packages, or substantially all remaining assets. Other clinical programs—including ST-503, hemophilia assets, and certain cell therapy programs—remain available for competing bidders.

Moreover, sophisticated equity holders have organized and are actively advocating for maximizing value through:

- increased auction competition,
- reduction of administrative expenses,
- buyer assumption of additional liabilities,
- reconciliation of unsecured claims,
- preservation of tax attributes,
- and exploration of recapitalization alternatives.

Each of these factors has the potential to increase residual value available to common shareholders.

Valuation

We estimate the currently visible value as follows:

- Lilly consideration: $50 million
- Astellas upfront consideration: $25 million
- Potential regulatory milestone: $12.5 million

Total identifiable consideration: approximately $87.5 million.

From that amount we conservatively deduct:

- approximately $40 million of general unsecured claims,
- $15 million for the remaining DIP obligations,
- and $15 million for professional fees and administrative expenses.

This produces an estimated residual value of approximately $17.5 million, or roughly $0.044 per share, before assigning any value to auction competition.

Importantly, we believe this base case is conservative for three reasons.

First, we assume 400 million fully diluted shares outstanding, substantially above the current basic share count. We use this larger number to avoid overstating any potential per-share recovery.

Second, our model assumes $15 million of remaining DIP obligations at emergence, despite the replacement facility providing up to $35 million of available financing. We believe this is a conservative assumption. The $35 million represents the maximum borrowing capacity, not the amount that must ultimately be drawn. If the Lilly and Astellas transactions close on schedule and the remaining assets are sold promptly, Sangamo should require significantly less incremental financing to fund operations and the bankruptcy process. In addition, a shorter Chapter 11 should materially reduce professional fees, advisory costs, and operating cash burn, further limiting the need to utilize the full facility. Because the replacement DIP is intended to bridge the Company through the sale process—not finance a lengthy reorganization—we believe the ultimate DIP payoff is likely to be meaningfully below the facility's maximum commitment. Any reduction in actual borrowings would increase the residual value available to the estate and, ultimately, to common shareholders.

Lastly, we assume approximately $15 million of professional fees and administrative expenses. If the auction concludes efficiently—as we expect is in the interest of every major constituency—those costs could prove materially lower. Likewise, the replacement DIP facility may not ultimately be fully drawn, particularly if asset sales close quickly.

The real opportunity lies in the auction.

If competitive bidding increases aggregate consideration to $130–$250 million, our estimated equity value ranges from approximately $0.15 to $0.44 per share, representing roughly 2–5x the current market price under our assumptions.

ELI LILLY	$ 50.0		**AUCTION**								
Astellas	$ 25.0	upfront									
	$ 12.5	conditional approval									
Total Value	$ 87.5		$ 130.00	$ 145.00	$ 160.00	$ 175.00	$ 190.00	$ 205.00	$ 220.00	$ 235.00	$ 250.00
GUCS	$ (40.0)		$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)
DIP	$ (18.0)	some or all credit bid	$ (18.00)	$ (18.00)	$ (18.00)	$ (18.00)	$ (18.00)	$ (18.00)	$ (18.00)	$ (18.00)	$ (18.00)
TOTAL	$ (58.0)										
FEES	$ (15.0)	lower if process is shorter	$ (15.00)	$ (15.00)	$ (15.00)	$ (15.00)	$ (15.00)	$ (15.00)	$ (15.00)	$ (15.00)	$ (15.00)
NAV	$ 14.5		$ 57.00	$ 72.00	$ 87.00	$ 102.00	$ 117.00	$ 132.00	$ 147.00	$ 162.00	$ 177.00
s/o	400.00		400.00	400.00	400.00	400.00	400.00	400.00	400.00	400.00	400.00
vps	$ 0.036		$ 0.143	$ 0.180	$ 0.218	$ 0.255	$ 0.293	$ 0.330	$ 0.368	$ 0.405	$ 0.443
today	$ 0.08		78%	125%	172%	219%	266%	313%	359%	406%	453%

Why the Market Is Wrong

Most bankrupt equities deserve to trade at zero. Sangamo is different.

The company entered Chapter 11 with two strategic buyers already negotiating transactions. It possesses technology platforms that sophisticated pharmaceutical companies have determined are worth acquiring, and the bankruptcy process is specifically structured to encourage competing bids rather than simply transfer assets to the initial bidders.

The market appears to be pricing the equity as though the stalking horse bids represent the end of the process.

We believe they represent the beginning.

Equity Committee Appointed

United States Trustee appointed an Official Committee of Equity Holders on August 5, 2026 to represent the interests of Sangamo's common shareholders throughout the Chapter 11 process. We believe this development is significant for two reasons.

First, the replacement DIP lender negotiated the right to credit bid for the remaining assets not acquired by the stalking horse purchasers. A credit bid only has value if the lender believes the underlying collateral is worth owning. In our view, this is another indication that sophisticated parties closest to the process believe the remaining assets possess meaningful value. If the auction generates proceeds in excess of the secured claims, that incremental value flows to junior constituencies, including common shareholders.

Second, while the appointment of an official equity committee does not guarantee a recovery, the United States Trustee does not appoint one in every Chapter 11 case. The Trustee generally weighs whether shareholders have a sufficiently meaningful economic interest to justify the additional administrative expense of an official committee. We believe the decision to appoint one here is another encouraging signal that a recovery for common equity is viewed as a realistic possibility rather than merely a remote outcome. They aren’t going to waste the estate’s resources on an Equity Committee if they don’t think there will be value for the equity.

Risks

The principal risk is straightforward.

If no meaningful competing bids emerge, administrative expenses exceed expectations, the DIP lender acquires the remaining assets through credit bidding, and the unsecured claims pool proves larger than anticipated, common equity could receive little or no recovery.

This is not a liquidation arbitrage where the downside is trivial.

It is an event-driven investment in which the auction outcome will determine value.

Catalyst

The current stock price reflects a market that has largely written off the common equity because the company is in Chapter 11.

Sangamo owns assets that some of the world's largest pharmaceutical companies have already validated through binding stalking horse agreements. The estate is entering a competitive auction designed to maximize value, not a fire sale designed to end the process as quickly as possible. When combined with our conservative assumptions on dilution and recoveries, we believe the common stock offers an attractive asymmetric opportunity: limited additional downside from current levels and the potential for several multiples of upside if the auction generates value above today's visible floor.

Messages

Subject	value of the underlying assets
Entry	08/05/2026 03:39 PM
Member	otto695

is there any basis for assuming that the assets could, "increases aggregate consideration to $130–$250 million, our estimated equity value ranges from approximately $0.15 to $0.44 per share"? in other word, why not $90-100M or $250-500M? are there any comparables for these assets or is it simply that stalking horse bids are always low an auctions typically result in 1.5x-3x?

Subject	Re: value of the underlying assets
Entry	08/05/2026 05:00 PM
Member	mrsox977

This is of course a very appropriate question. The valuation range is intentionally illustrative. We are not arguing that the auction must produce $130–250 million. Rather, we are demonstrating that relatively modest increases in aggregate consideration above today's visible floor have a disproportionate impact on residual equity value because the estate's fixed obligations do not increase dollar-for-dollar with sale proceeds.

Sangamo's market cap peaked at $2.5-$3b

Stalking horse bids are negotiated to establish a floor, not necessarily fair value. In virtually every Section 363 process, the initial bid is designed to encourage participation by compensating the stalking horse for diligence and deal certainty.

The current bids do not appear to encompass the entire enterprise. Lilly and Astellas are each acquiring specific platforms and programs. Other assets including ST-503, hemophilia programs, cell therapy assets, intellectual property, tax attributes and other development programs remain available for competing bidders or separate transactions.

Remember that these are strategic assets rather than financial assets. The value of a gene-editing platform to a large pharmaceutical company is not determined solely by discounted cash flow from one program. These platforms can be leveraged across numerous future drug candidates, meaning different buyers may assign dramatically different strategic values to the same asset.

In tracking hundreds of bankruptcy cases, one thing we have learned is to observe what sophisticated parties are doing. In this case they continue to behave as though additional value exists. The replacement DIP lender negotiated the right to credit bid for the remaining assets, and the United States Trustee appointed an official equity committee. Neither development proves equity will recover, but both are consistent with the view that there is meaningful value remaining to be allocated.

Subject	Re: Re: value of the underlying assets
Entry	08/05/2026 08:39 PM
Member	mrsox977

To put a finer point on it, the company raised over $550m in upfront payments for pharma companies to license the zinc fingers over the last 7-8 years. For the stac-bbb, the company has raise almost $70m in the last 18 months. This is irrespective of potential milestone payments. $50m to own the platforms, rather than say license, seems like a kind of low price.

For the Fabry therapy, it is entirely possible that it is a $1b revenue opportunity. Both DB and WFC seemed to think so, take with a grain of salt of course. The company pursued partnerships for it over the last year+. The hangup was the possibility that a larger trial may need to be conducted. As the company ran out of money, they got a letter from the FDA stating that a wider trial wasn't needed. This strikes us as important for two reasons, it makes conditional approval much more likely (the FDA would've said do a bigger trial, we need more data), and they don't have to do a larger, costly (both time and money) trial. $25m with milestones also strikes us as too low. We know there is interest in the fabry program because the company was in discussions with multiple parties. The company indicated they were looking at 9 figure sums upfront, but given they were running out of money and could need another trial it is likely partners just took a wait and see approach.

The company hired RJF about 2 weeks before filing. These assets were looked at by a lot of parties in the context of licensing and partnerships but not necessarily for sale. Given the diversity of licensing partners and multiple parties looking at the fabry treatment, we think an auction developing is a good probability. In that setting, the possibility of some convex outcomes seems non-trivial.

There are other IP assets that seem like they could have some real value as well, with a DIP lender willing to credit bid remnant assets and reorganize around the large NOLs.

The EC being appointed today is a good sign. Right now you have to squint a little to understand this is a full pay case for creditors, but the US trustee and the judge aren't letting equity holders spend creditors money and the appointment of a committee validates that. We will also point out the deadline to submit to be on the EC was 8/3, the bid deadline 8/4, and the EC formed on 8/5. It seems likely that the US trustee learned one of two things, or both, and appointed the committee. There are competing bids and there is going to be an auction and/or the DIP lender is proposing a plan around a credit bid for remnant assets and the NOL.

It is possible that the stalking horse bids are the best and final bids, the other assets are worth bupkis, but we like this as a probabilistic bet.

Subject	Timing

Entry	08/06/2026 03:36 AM
Member	bafana901

When do you expect the court will define the rules and timetable for the auction?

When do you expect the auction to be held ? (AI says between 3 and 7 weeks hinting that it could be on the shorter end because of the pre-negotiated stalking horse agreements.)

Thanks

Subject	Re: Timing
Entry	08/06/2026 07:28 AM
Member	mrsox977

Aug 10th

Subject	Re: Re: Re: value of the underlying assets
Entry	08/12/2026 06:32 PM
Member	acm2025

$163m, plus another $100m in potential milestone payments. If we discount the milestone payments to a NPV of $12m (pulled out of my behind and very aggressive) then the value of the stub is .25 cents. Has anything changed over the last few days that makes you feel that number isn't roughly correct? Stock closed at .153 today.

Subject	Re: Re: Re: Re: value of the underlying assets
Entry	08/13/2026 07:15 AM
Member	mrsox977

I'd have pulled something out of my behind as well, probably a little higher, if I had not attended the auction in person, not on EC but as an observer. I would say that the milestone payment of $80m has a very high probability of being met, above 80%. RJF was using 90%. The remaining $20m is a little over 50%, I think. RJF used 60%. During the bidding, RJF was valuing various forms of consideration and the winning bid was considered to be an NPV of like $187m, not sure why they didn't mention this. So they had the milestones worth $76m, $80m worth about 65m, the $20m worth about $11m. The delta between probability weighted and NPV was just time value of money. I was very impressed with the winning bidder, spent about 20 minutes chatting with them, and they had a lot of confidence in their ability to get this across the finish line for both milestones. I have about .40, 20's now, 40 with the first milestone.

There are other assets to sell, idk what the value really is, but the company mentioned this being a "first auction" in the PR. The cash coming in and the large NOL mean the shell can reorg around it. FWIW, I don't think they use the whole DIP unless they're paying RJF out of it. My math is they showed up with $5m, got $50m from lly, $111m from this, 2.5m from equipment for 167.5m. the 80m is probably an NPV of $65m, PTC said they want to start commercializing late next year, so call it a year from today for the first milestone (though i think the status this drug has makes that more like 9 months).

This thing is clearly well in the money, the first milestone especially seems like a very high probability.

Subject	Updated numbers
Entry	08/19/2026 10:43 AM
Member	mack885

A couple of questions-

Why is the 400M fully diluted share count assumption conservative against 414.3M basic shares in the Q1 10Q?

What is the source for the $40M in GUCs and are there updated financials in the court docket with current claims and DIP balance?

If your numbers are accurate, the $163M they just pulled in from the (first) auction minus GUCs/DIP/Fees/more than covers the current share price with signifcant upside from the likely milestones and additional recoveries (NAV1.7 etc).

Subject	LLY
Entry	08/19/2026 03:06 PM
Member	bafana901

Were you surprised that LLY did not pay more than $50mil. Obviously there was no competing bid??

What do you make of Astellas’ and Alexion’s opposition to the sale to LLY? Do you think this may result in a higher bid or do you think this is just a fight to protect their licensing rights?

Can you give us your latest views on timing and running costs?

Thanks for the idea

Subject	Update
Entry	08/21/2026 05:52 PM
Member	bafana901

I have seen some speculation that the remnant assets may attract some attention. What is your view on this?

Can you also talk about the timing and the mechanics of returning capital to shareholders. I am thinking there are a few permutations given the milestone payments and tax losses.

Finally, there was some noise surrounding the sale of the first assets. Has this all been resolved or are there complications? I am not 100% sure.

Thanks